



East African Cables

Our Ref: EAC/MD-FA/082/04/14

31 March 2014

By Fax No. 2224200

Mr. Peter Mwangi
Chief Executive Officer
Nairobi Stock Exchange
Nation Centre
1st Floor, Kimathi Street
NAIROBI

Dear Mr. Mwangi

**RE: NOTICE OF ANNUAL GENERAL MEETING AND 2013 GROUP
RESULTS ANNOUNCEMENT TO SHAREHOLDERS**

Enclosed herewith is a notice of our upcoming Annual General Meeting and group annual results for the year 2013 which will be published in the local dailies on Wednesday 2nd April 2014 and Thursday 3rd April 2014.

Yours sincerely
East African Cables Ltd

George C. Mwangi
CHIEF EXECUTIVE OFFICER

Encl.





East African Cables
Connecting lives

Notice to Shareholders

Notice of the Annual General Meeting

Notice is hereby given that the forty ninth Annual General Meeting of the shareholders will be held at East African Cables Limited premises on Addis Ababa Road, off Enterprise Road, Industrial Area, Nairobi, on Thursday, 24th April, 2014 at 11.00 a.m. for the following purposes:

ORDINARY BUSINESS

- To receive and if approved, adopt the Group's audited financial statements for the year ended 31st December, 2013 together with the Chairman's, Directors' and Auditors' reports thereon.
- To approve the Directors' remuneration as provided in the accounts for the period ended 31st December, 2013.
- To approve the payment of a final dividend of 120% representing Kshs 0.60 per ordinary share.
- To elect Directors:
 - In accordance with the Company's Articles of Association Mr. P. T. Kanyago and Mr. Z. G. Mbugua retire by rotation and being eligible, offer themselves for re-election at the forth coming Annual General Meeting.
 - Mr. Dennis Awori who was appointed as a director of the Company with effect from 1st July, 2013, retires in accordance with the Company's Articles of Association and being eligible, offers himself for re-election.
 - Mr. Bruno Thomas who is over the age of 70 years retires as a director of the Company in line with section 186 of the Companies Act Cap 486. The Board proposes his re-appointment to the Board under section 186(5) the Companies Act.
- To appoint the auditors for the ensuing year and to authorize the Directors to fix their remuneration.
- To transact any other business which may be properly transacted at an Annual General Meeting.

BY ORDER OF THE BOARD

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Company Secretary
P.O. Box 40111-00100 GPO
Nairobi

17th March, 2014

Note:

A member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf and such a proxy need not be a member of the Company. To be valid, proxy forms must be deposited at the Registered Office of the Company not less than 48 hours before the appointed time of the meeting.

Report of the Independent Auditors to the members of East African Cables Limited

Report on the financial statements

We have audited the consolidated financial statements of East African Cables Limited which comprise the statements of financial position of the group and the company as at 31 December 2013, and the consolidated statement of comprehensive income, consolidated and company statement of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the group and the company at 31 December 2013, and the group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit;
- in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- the statement of financial position of the company is in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Jacob Maina Gathecha - P/1610.

KPMG Kenya, Certified Public Accountants

Date: 17 March 2014

Consolidated Statement of Comprehensive Income for the year ended 31 December 2013

	2013 KShs'000	2012 KShs'000
Revenue	4,502,964	4,300,608
Cost of sales	(3,131,473)	(2,946,800)
Gross profit	1,371,491	1,353,808
Other income	4,203	105,539
Factory expenses	(213,032)	(181,034)
Administrative expenses	(233,529)	(216,410)
Distribution costs	(167,277)	(116,479)
Profit before depreciation and finance costs	761,796	945,364
Depreciation and amortisation	(165,852)	(169,381)
Results from operating activities	595,944	775,333
Finance income	40,720	33,940
Finance costs	(51,264)	(56,080)
Net finance costs	(10,544)	(22,140)
Profit before income tax	585,400	753,243
Income tax expense	(187,198)	(231,183)
Profit for the year	398,202	522,060
Other comprehensive income		
Items that will never be reclassified to profit or loss		
Revaluation surplus on property, plant and equipment	-	491,164
Deferred tax on revaluation surplus	-	(147,349)
		343,815
Items that are or may be reclassified to profit or loss		
Foreign currency translation differences on foreign operations	(3,568)	13,135
Total other comprehensive income	(3,568)	356,950
Total comprehensive income for the year	394,634	879,010
Profit for the year is attributable to:		
Equity holders of the company	346,415	440,732
Non-controlling interest	51,787	81,328
Total comprehensive income attributable to:	398,202	522,060
Equity holders of the company	342,847	701,687
Non-controlling interest	51,787	177,323
	394,634	879,010
Basic and diluted earnings per share	KShs 1.37	KShs 1.74

Consolidated Statement of Financial Position as at 31 December 2013

	2013 KShs'000	2012 KShs'000
ASSETS		
Non-current assets		
Property, plant and equipment	2,793,123	2,778,127
Prepaid operating lease rentals	148,010	149,882
Investment property	282,868	285,125
Intangible assets	2,080	-
	3,226,081	3,212,203
Current assets		
Inventories	804,627	911,951
Trade and other receivables	2,748,630	2,054,750
Cash and cash equivalents	29,927	64,738
	3,583,184	3,031,439
TOTAL ASSETS	6,809,265	6,243,642
EQUITY AND LIABILITIES		
Capital and reserves		
Issued capital	126,563	126,563
Share premium	545	545
Revaluation reserve	925,556	925,556
Retained earnings	1,381,874	1,288,584
Foreign currency translation reserve	(22,101)	(18,533)
Total equity attributable to equity holders of the company	2,412,437	2,322,715
Non-controlling interest	654,101	602,314
Total equity	3,066,538	2,925,029
Non-current liabilities		
Bank loans and borrowings	369,684	170,531
Liability for staff gratuity	19,995	14,418
Deferred tax liability	607,340	606,438
	996,919	791,387
Current liabilities		
Bank overdraft	91,366	46,689
Trade and other payables	1,067,185	1,349,494
Current income tax payable	9,970	145,610
Short-term portion of bank loan	1,476,337	958,408
Dividends payable	101,250	32,015
	2,746,108	2,532,226
TOTAL EQUITY AND LIABILITIES	6,809,265	6,243,642

These financial statements were approved by the Board of Directors on 17 March 2014.

Consolidated Statement of Cash Flows for the year ended 31 December 2013

	2013 KShs'000	2012 KShs'000
Cash (used)/generated from operations	(150,649)	748,697
Income taxes paid	(230,701)	(167,423)
Cash (used)/generated from operating activities	(381,350)	581,274
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(189,056)	(185,314)
Purchase of intangible asset	-	(2,691)
Cash used in investing activities	(189,056)	(188,005)
CASH FLOWS FROM FINANCING ACTIVITIES		
Loans and borrowings incurred	3,467,711	2,080,102
Repayment of loans and borrowings	(2,750,629)	(2,103,482)
Interest paid on bank loans and borrowings	(42,264)	(49,080)
Dividends paid	(183,890)	(266,115)
Cash used in financing activities	490,928	(338,575)
Net (decrease)/increase in cash and cash equivalents	(79,478)	54,694
Cash and cash equivalents at 1 January	18,039	(36,655)
Cash and cash equivalents at 31 December	(61,439)	18,039

Consolidated Statement of Changes in Equity for the year ended 31 December 2013

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Foreign currency translation reserve KShs '000	Total equity attributable to equity holders of company KShs '000	Non-controlling interest KShs '000	Total equity KShs '000
Balance at 1 January 2012	126,563	545	669,644	1,075,665	(23,576)	1,848,841	424,991	2,273,832
Comprehensive income for the year								
Profit for the year	-	-	-	440,732	-	440,732	81,328	522,060
Other comprehensive income								
On revaluation	-	-	365,589	-	-	365,589	125,575	491,164
Deferred tax on revaluation surplus	-	-	(109,677)	-	-	(109,677)	(37,672)	(147,349)
Foreign currency translation differences on foreign operations	-	-	-	-	5,043	5,043	8,092	13,135
Total other comprehensive income	-	-	255,912	-	5,043	260,955	95,995	356,950
Total comprehensive income for the year	-	-	255,912	440,732	5,043	701,687	177,323	879,010
Contributions by and distributions to owners								
Dividend - 2011 paid	-	-	-	(126,563)	-	(126,563)	-	(126,563)
Interim dividend - 2012	-	-	-	(101,250)	-	(101,250)	-	(101,250)
Total distribution to owners of the company	-	-	-	(227,813)	-	(227,813)	-	(227,813)
Balance at 31 December 2012	126,563	545	925,556	1,288,584	(18,533)	2,322,715	602,314	2,925,029
Comprehensive income for the year								
Profit for the year	-	-	-	346,415	-	346,415	51,787	398,202
Other comprehensive income								
Foreign currency translation differences on foreign operations	-	-	-	-	(3,568)	(3,568)	-	(3,568)
Total comprehensive income for the year	-	-	-	346,415	(3,568)	342,847	51,787	394,634
Contributions by and distributions to owners								
Dividend - 2012 paid	-	-	-	(151,875)	-	(151,875)	-	(151,875)
Interim dividend for 2013 transferred to dividend payable	-	-	-	(101,250)	-	(101,250)	-	(101,250)
Total distribution to owners of the company	-	-	-	(253,125)	-	(253,125)	-	(253,125)
Balance at 31 December 2013	126,563	545	925,556	1,381,874	(22,101)	2,412,437	654,101	3,066,538

Note: A full set of the Annual Report and Financial Statements will be available on our website www.eacables.com on 7th April, 2014. For any enquiries please contact us on investor@eacables.com